Pillar#1C1: Sharemarket → Debt/Bonds

Note: Yes New RBI governor - December 2024, IAS Sanjay Malhotra replaced IAS Shaktikanta Das as RBI Governor. Updating all graphics/mindmaps in my Handout & PPT with the new photo is technically challenging, so please focus on the text content and avoid nitpicking & jhandaa-lifting 🙏

Table of Contents

15 🐷📈🐻Pillar#1C1: Sharemarket in UPSC....185

15.11.1 🚩👶 Boycott Notice for PHD in Sharemarket handout....185

15.12 💰 Capital- types Fixed vs Working....185

15.12.1 💰 Capital Arrange → Trade Credit, Account Receivable & Payable....186

15.12.2 💰 Capital Arrange → Lease Financing (Medium Term)....186

15.12.3 → Capital Arrange Retained Earnings (Long Term)....186

15.12.4 💰 Crowdfunding — Alternative Capital for MSMEs....186

15.12.5 💰 Capital / Funding Arrangement: Types....187

15.13 🗃️ Securities (प्रतिभूति)....187

15.14 🗃️🛒Financial / Securities market: meaning and types....188

15.15 🔪🗃️ Debt Instruments (ऋण उपकरण)....189

15.15.1 🔪🗃️⏰Short term debt instruments (लघु अवधि ऋण उपकरण)....189

15.15.2 🔪🗃️⏰:👦Short term debt instruments by Govt....189

15.15.3 🔪🗃️⏰ Short-term Loans for Govts→ WMA, Overdraft, SDF....190

15.15.4 Short term debt: Certificate of Deposit (CD-instrument by Bankers)....191

15.15.5 🔪🗃️⏰Short term debt instruments → more types....191

15.15.6 🔪⏰👥🔪🗃️⏰Debt → Short Term → Tri-party Repo....192

15.16 🔪🗃️⏰Debt → Short Term → Factoring & TREDS....192

15.16.1 🔪🗃️⏰Factoring Regulation (Amendment) Act, 2021....192

15.16.2 🔪🗃️⏰: 📡 TReDS platform to connect factoring-players....193

🔠 MCQ.(IAS-2026)What is the role of M1xchange?....193

15.16.3 🧼 TReDS Reforms in Budget-2026 to help MSME:....193

15.17 🔪🗃️⏰Debt → Interest Rate Benchmarks: LIBOR, MIBOR,....193

15.17.1 🔪🗃️⏰ India's SORR → Secured Overnight Rupee Rate (SORR)....194

15.18 🔪🗃️🗓️ Long Term Debt Instruments (दीर्घ-अवधि ऋण- उपकरण)....195

15.18.1 🕯️🗃️🗓️👴Colonial era Govt. to borrow money....195

15.18.2 💡🗃️🗓️👴Modern day Government to borrow money....195

15.18.3 📈🔎 Global Bond Indices & inclusion of Indian G-Sec....196

15.19 🥇🗃️🗓️ Bonds issued by Govt/RBI for Special Purpose?....196

15.19.1 🍎🔪🗃️🗓️ RBI's Inflation Indexed Bonds (IIB-मुद्रास्फीति सूचकांकित बांड)....196

15.19.2 🍎🔪🗃️🗓️ RBI's Capital Indexed Bonds (CIB) vs IIB....196

15.19.3 🥇🔪🗃️🗓️ RBI's Sovereign Gold Bond (SGB) (started from 2015: संप्रभु स्वर्ण बांड)....197

15.19.4 🥇🔪🗃️🗓️ Govt to stop borrowing via SGB due to high gold price (2025)....197

15.20 🔪🗃️🗓️👮 Long term debt instruments by Companies....197

15.20.1 🐸 Hybrid financing / Mezzanine Financing....198

15.20.2 🐸 Hybrid: OFCD: Sahara Refund portal (2023)....198

15.20.3 🐸 Hybrid: Foreign Currency Convertible Bonds (FCCBs):....198

15.20.4 🐸 Hybrid: Contingent convertible bond (CoCo)/ enhanced capital note (ECN)....199

15.21 🔪🗃️🗓️ Bonds Types : Based on Issuer....199

15.21.1 🔪🗃️🗓️ Bonds Types : Based on Issuer → ULB (Urban Local Bodies)....199

15.21.2 🔪🗃️🗓️ Bonds Types : Based on Issuer → Global....199

15.21.3 🔪🗃️🗓️Long Term Debt Instruments: Masala, Maharaja, Panda Bond....200

15.21.4 🔪🗃️🗓️ Long Term Debt Instruments: Special purpose: 🚦🚗Surety Bonds....201

15.21.5 Long Term Debt : Special purpose Bonds- Sovereign green bonds (2022)....201
15.21.6 Sovereign green bonds are flop, investors not attracted (2025)....201
15.21.7 Green Bonds Greenium....202
15.22 Long Term Debt Instruments: Special purpose Bonds- Misc....202
15.22.1 Special Purpose: Greenbonds (हरित बांड) पर्यावरण संरक्षण और स्वच्छ ऊर्जा संबंधी....202
15.22.2 Social Impact Bonds, Skill Impact Bonds & Impact Investors (सामाजिक प्रभाव बांड)....203
15.22.3 Bonds → Zero coupon zero principal instrument....203
15.22.4 CAT Bonds / Catastrophe Bond (आपदा)....204
15.22.5 Bonds → Bhutan Mindfulness City ke liye "Nation Building Bond" (2024–25)....204
15.23 ( ) Electoral bonds (चुनावी बांड, 2017-2024)....204
15.23.1 SC bans electoral bonds (2024-Feb)....205
15.23.2 Electoral Bond & Companies Act - SC bans amendments....205
15.23.3 Electoral Trusts (ET) Scheme (2013)....205
15.24 Bonds: Misc. Types....206
15.24.1 Bonds: Misc. Types Market Linked Debentures/Bonds....206
15.24.2 : Bond Yield, Yield Inversion, Negative Yield....206
15.25 Buffer Funds for Bond Repayment....206
15.25.1 Debenture Redemption Reserve (DRR) Fund of Companies issuing Bonds....206
15.25.2 Consolidated Sinking Fund (CSF) for State Govts' repayment....206

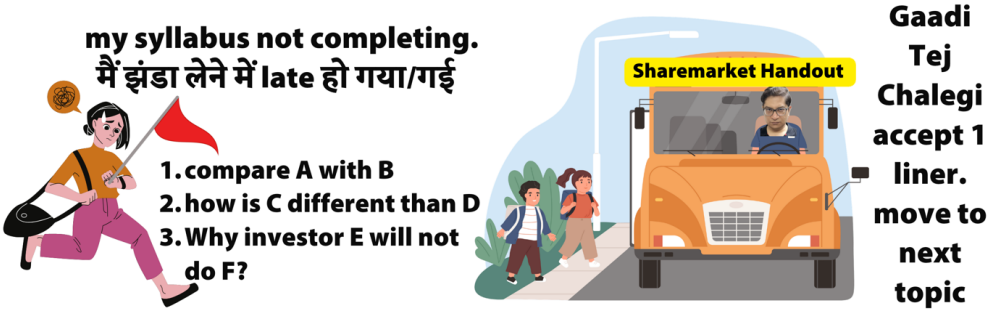
15 PILLAR#1C1: SHAREMARKET IN UPSC

MCQs from SEBI/ Share market /Financial Market / Companies Act Topic in UPSC Prelims

Year	14	15	16	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026
MCQ	1	0	2	0	1	1	3	1	2	3	5	4	3

15.11.1 Boycott Notice for PHD in Sharemarket handout

Since UPSC has recently started asking special types of MCQs from Sharemarket related so **I've increased the topic coverage** in this handout = number of pages **increased without any SHAME**.



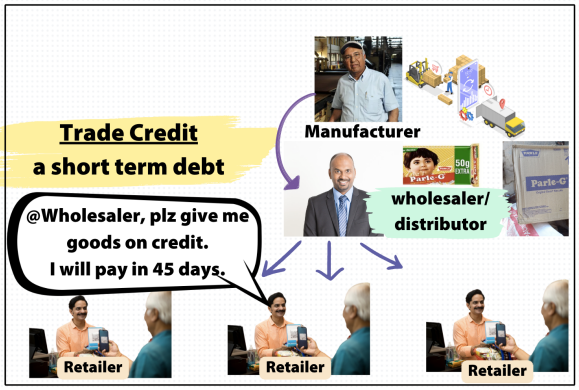
- We will only grab low hanging fruits / 1-liner-GK and move. If I have not covered something = that means I do not find it important for exam or I find it to have poor cost:benefit.
- I boycott unnecessary translation into Hindi for every term: because sharemarket-topic does not have much utility in the mains examinations.

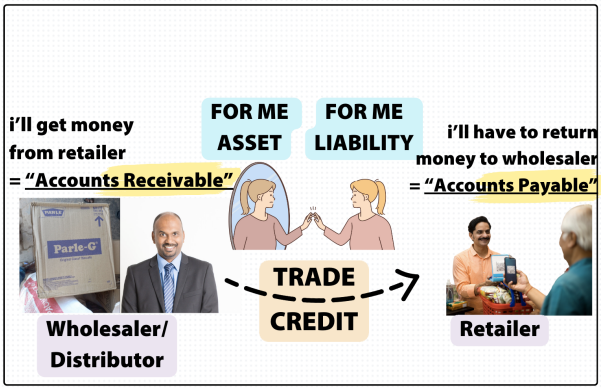
15.12 CAPITAL- TYPES FIXED VS WORKING

Capital required to meet financial needs of a company.

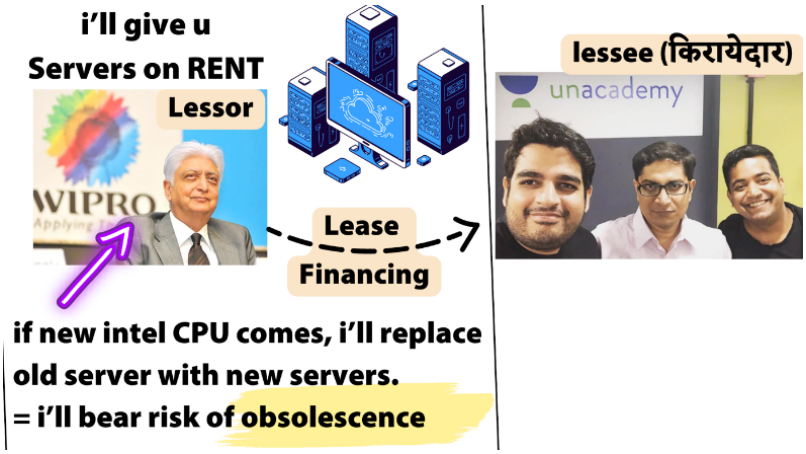
Fixed Capital (स्थायी-पूंजी)	Working Capital (कार्यकारी)
Money needed for purchase of land, plant and machinery, furniture, and other fixed assets.	Money needed for purchase raw materials, salaries to employees, rent of the office, advertising / marketing, other day-to-day operations, etc.

15.12.1 💰 Capital Arrange → Trade Credit, Account Receivable & Payable





15.12.2 💰 Capital Arrange → Lease Financing (Medium Term)



15.12.3 🏦 Capital Arrange → Retained Earnings (Long Term)

- Company makes profit → ₹₹ goes into two channels.
- Some of the money given to shareholders as dividend.
- Remaining money is re-invested in the business = this is called "Retained Earnings"
- 🤷‍♀️FAQ: who will decide how much money will be given as dividend/retained earning? Ans. Company's board of directors.

15.12.4 💰 Crowdfunding — Alternative Capital for MSMEs

Crowdfunding = raising small amounts from a large number of people online.
Ideal for MSME or Startups in certain type of projects e.g. video games.

Type	How it works
(1) Donation	Public gives money, expects nothing back — used for social causes
(2) Reward-based	Contributor gets early access to the product. (e.g. crowd funded video game)
(3) Equity-based	Contributor gets shares of the company. However this type of crowd funding is illegal/ not allowed by SEBI.
(4) Debt-based	Business borrows from crowd, repays with interest e.g. peer2peer lending regulated by RBI (Ref: Pillar#1B1).

Indian Crowdfunding online platforms: Ketto (donation), Wishberry (rewards) etc.

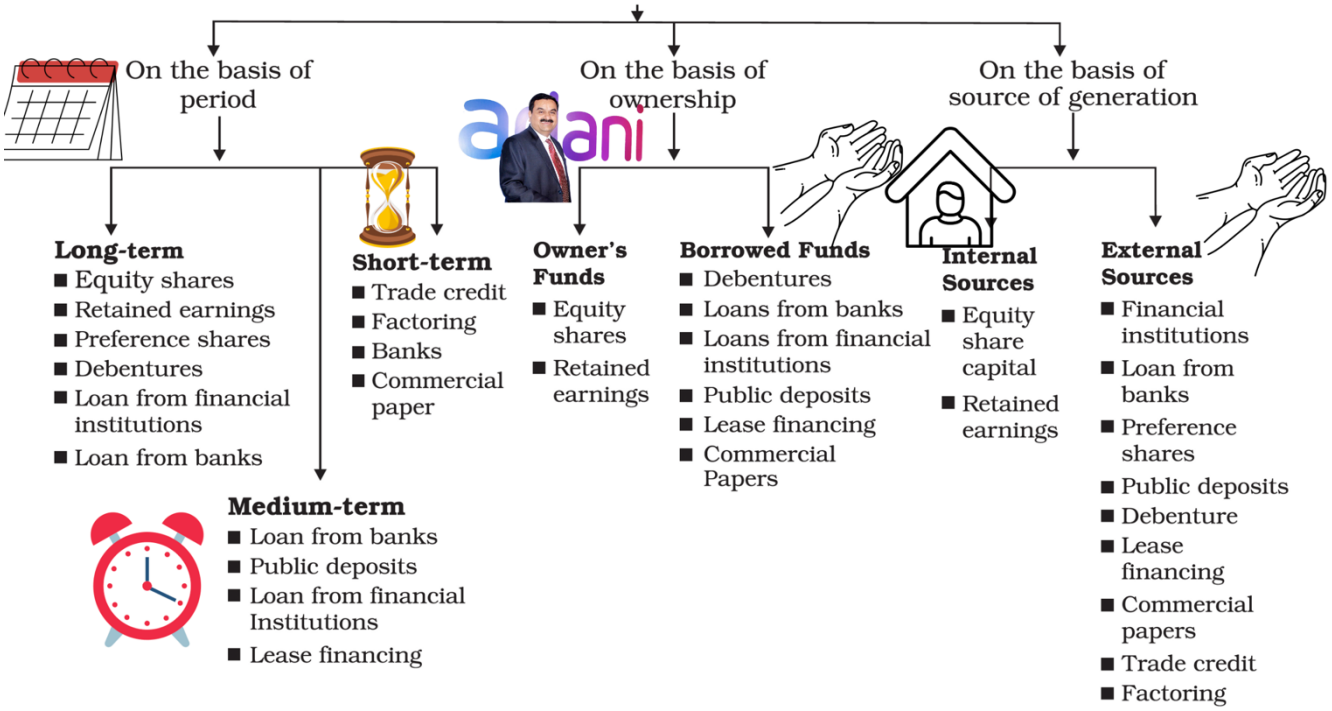
FAQ: who regulates type1 and 2 **Ans.** Grey area bcoz these are new things, Govt yet to make clear law/rules. I didn't PhD further. थोड़ा-पढ़ो-आगे-बढ़ो.

MCQ.(IAS-2026) Find correct about Crowdfunding?

1. Crowdfunding is solicitation of funds (small amount) from multiple investors through a web-based platform or social networking site for a specific project.
2. Small and Medium Enterprises (SMEs) are able to raise funds at lower cost of capital without undergoing rigorous procedures (compared to issuing Bonds via SEBI approval).

Codes: (a) 1 only (b) 2 only (c) ✅ Both 1 and 2 (d) Neither 1 nor 2

15.12.5 Capital / Funding Arrangement: Types



Source: NCERT Class12 Business Studies Ch.8

Wait till we finish entire handout, then these terms will make sense to you.

15.13 SECURITIES (प्रतिभूति)

A 'Security' means a certificate/document indicating that its holder is eligible to receive a certain amount of money at a particular time. This could be a…

Equity: Share certificate	Debt (ऋण): Bond / Debenture
Holder gets dividend from the profits of the company. If no profit, then no dividend.	Holder gets interest & principal irrespective of whether company makes profit or not.
Company's owners, proprietors (मालिक)	creditors of the company (लेनदार).
Have last claim during liquidation. So, Shareholders are 'Residual Claimants'.	first claim. नीलामी से मिलने वाली रकम पर पहला हक इनका
Attractive in boom period, since companies more likely to make profit so more chances of good dividend. Although during corona, many investors tried to buy shares cheap from	Attractive in slowdown period, since bonds provides fixed interest to the investor irrespective of profit of the company. निवेशकों को मंदी के दौरान ज्यादा अच्छे लगते हैं, क्योंकि जोखिम कम

🤝 Equity: Share certificate	🔪 Debt (ऋण): Bond / Debenture
secondary market, with hopes of getting profit after corona-recovery.	

🚩👶**FAQ: Bond and Debenture are not same. They're having internal technical differences.**

Ans. UPSC not asking b.Com/M.Com pedantry here. Then why burden brain's memory card?

🔠 **MCQ. Consider the following statements: (Pre'25)**

St-I: As regards returns from an investment in a company, generally, bondholders are considered to be relatively at lower risk than stockholders.

St-II: Bondholders are lenders to a company whereas stockholders are its owners.

St-III: For repayment purpose, bond-holders are prioritized over stockholders by a company.

Codes: (a) Both StII and StIII are correct and both of them explain StI

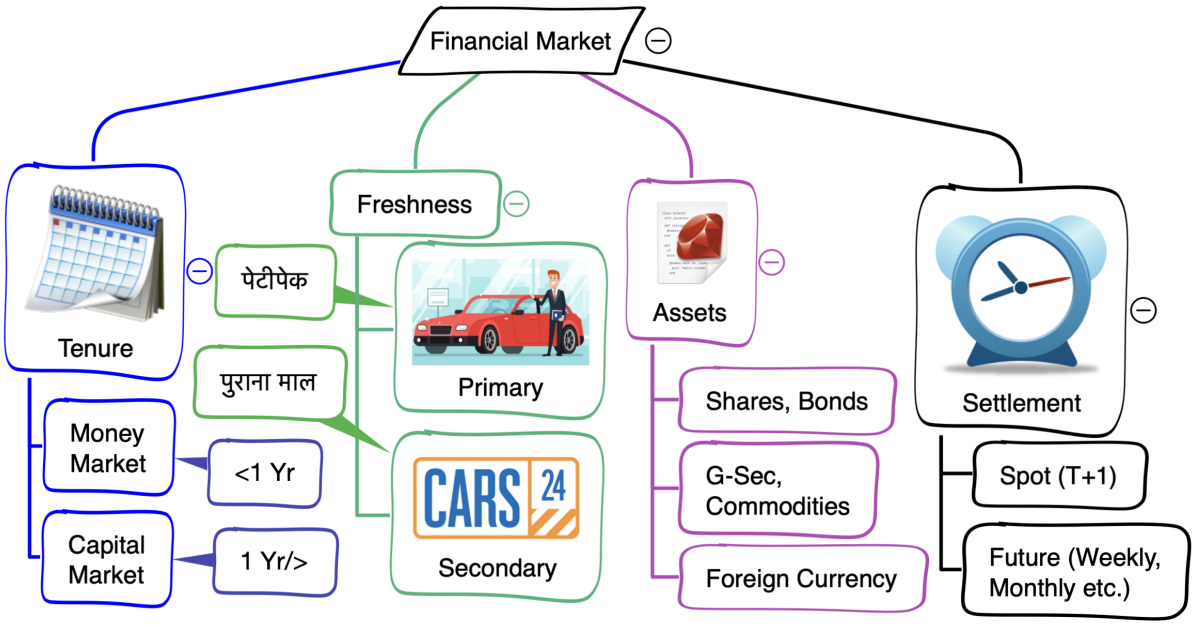
(b) Both StI and StII are correct and StI explains StII

(c) Only one of the II and III is correct and that explains StI (d) Neither StII nor StIII is correct

15.14💳🛒FINANCIAL / SECURITIES MARKET: MEANING AND TYPES

Financial Market is the place where buying and selling of securities takes place. Market doesn't require physical location. Can be done online / telephone as well.

Classifi.	Market Subtypes
Tenure: (अवधि)	1. ⏰Money Market (<1 year maturity) मुद्रा बाजार 2. 📆Capital Market (1 year/> maturity) पूंजी बाजार
Freshness प्राथमिक एवं द्वितीयक बाजार	1. **Primary Market** (where new securities are issued for the first time). Helps a company /govt to connect with the investor. It has no separate physical existence but classified like this, for economic analysis. (इस बाजार का अलग से भौतिक स्थान नहीं होता किंतु आर्थिक आकलन के लिए आंकड़ों में अलग से दिखाया जाता है) 2. **Secondary Market** (where the old securities are resold). It may have physical existence e.g. Bombay Stock Exchange (BSE) at Dalal Street, Mumbai. **Secondary Market** provides liquidity & confidence to investors to buy new securities in Primary Market. *(compared to a scenario if there was no market to resale used cars- तो कम लोग नई कार खरीदने जाएंगे.)*
Settlement (निपटान)	1. **Future Market**: Where parties write contract today to buy/sell something at specific price on a future date. 2. **Spot Market**: if bought & sold for immediate delivery.
Asset (परिसंपत्ति)	- Depending on what asset is traded, market can be divided into Bond (Debt) market, Share (Equity) market, G-Sec Market, Foreign Currency Market, Commodity Market etc. - if there was a supermall where all these products were available in one place it will be called "**Universal Exchange**". SEBI permitted BSE & NSE to launch such thing (2018).

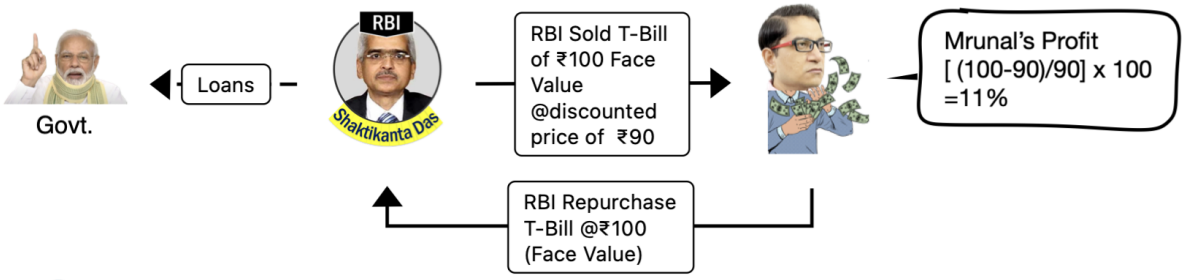


15.15 DEBT INSTRUMENTS (ऋण उपकरण)

Bond holders are creditors to company. First claim during liquidation. Assured interest irrespective of profit of company. These debt instruments can be classified into short-term vs long term.

15.15.1 Short term debt instruments (लघु अवधि ऋण उपकरण)

- Tenure = less than 1 year. Usually 'unsecured' because not backed by any asset.
- Usually sold at discount and re-purchased at Face Value or Par Value. The difference between these two prices is the interest earned by investor. सस्ते में बेचकर मूल भाव पर खरीदा जाता है
- Another synonym for this process: "**rediscount the bills.**"
- They're traded at **Money Market** and are (usually) 'negotiable & transferable' in nature i.e. lender can sell to 3rd party → 3rd party can demand money from borrower. (परक्राम्य और हस्तांतरणीय)
- **They're also called *Near Money*** = Asset that is highly liquid = can be readily converted into cash.



15.15.2 SHORT TERM DEBT INSTRUMENTS → BY GOVT

Tenure	Union	State
Short (<1 yr)	T-Bills (14,91,182,364 days)	N/A. Stopped since 2001
Short	Cash Mgmt Bill (CMB) 91 days	N/A
Short	WMA & Overdraft by RBI	Yes, available
Short	N/A	Sp.Drawing Facility (SDF) by RBI

Tenure	Union	State
Long (1yr/>)	G-Sec	State Development Loans (SDL-Bonds)

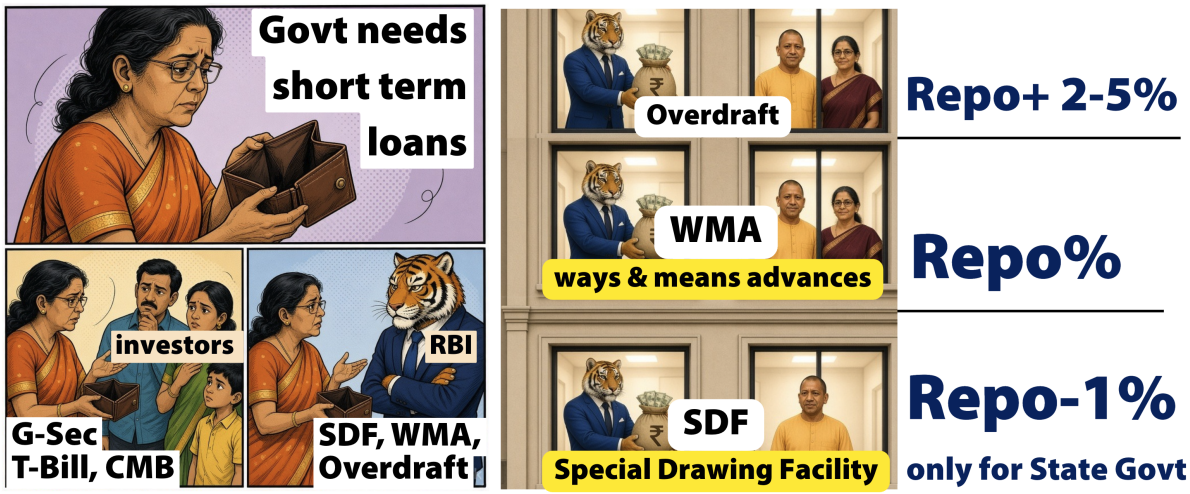
FAQ: in other books, different info given. Ans. my table based on IYB (India Yearbook) & Bizstd news-article.

Find Correct statements☹*Asked in UPSC-Pre-2018)*

1. The RBI manages and services Govt of India Securities, but not any State Govt Securities.
2. Treasury bills are issued by Govt of India and there are no treasury bills issued by State Govts.
3. Treasury bills offer are issued at a discount from the par value.

Ans Codes: (a) 1 and 2 only (b) 3 only (c) 2 and 3 only (d) 1, 2 and 3

15.15.3 Short-term Loans for Govts → WMA, Overdraft, SDF



- When Govt faces short term mismatch in receipt (income) and payment (Expenditure)
- RBI lends money for short term (3 months).
- WMA numbers are not counted in fiscal deficit figure. (More in Pillar2D: FRBM)
- Corona-crisis: ⬆mismatch in cashflow. So, 2020- ATMANIRBHAR Bharat initiative → RBI ↑ WMA limits to help the Union and State Govts. 2024- again RBI increased limits. But actual numbers not imp for exam. Watch video for more.

RBI loan rate	Loan quota for State	Loan quota for Union
Overdraft= Repo + (2 to 5)%	State takes it when its SDF & WMA quota is over.	Union takes it when WMA quota is over
WMA = Repo%	₹60,118 cr (total combined quota for all States)	₹1.20 lakh cr
SDF = Repo-1% Special Drawing Facility	depends on how much securities the State can pledge to RBI	N/A

MCQ. In India, who can trade in Corporate Bonds and Govt Securities?(Pre'24-Set-C-Q53)

1. Insurance Companies 2. Pension Funds 3. Retail Investors

Codes: (a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

MCQ. Find correct about Ways and Means Advances (WMA): (CAPF-2026)

1. WMA is a provision in which RBI provides **long-term loans** to the State & Central Govt.

2. WMA is a provision in which the RBI provides short-term loans to the State & Central Govt.
3. WMA was introduced in 1997.
4. Interest rate charged by the RBI on WMA is the same as the bank rate.

Codes: (a) 1 only (b) 1 and 3 only (c) 2 and 3 (d) 1, 3 and 4

💡Hint: st1 wrong WMA not long term loan. Eliminate accordingly.

🔠 **MCQ. Find correct about Special Drawing Facility (SDF) (CAPF-2026)**

1. It makes provision of short-term loans by the RBI to the State / Govts against Govt Securities.
2. Interest rate charged by the RBI on it is the same as the Repo Rate.
3. It can be availed by the State Govts only after exhausting the WMA.

Codes: (a) 1, 2 and 3 (b) 1 only (c) 1 and 3 only (d) 2 and 3 only

💡Hint: st3 wrong chain of sequence is SDF → WMA → Overdraft.

I've been teaching this since Corona, and after six years, UPSC asked. So, public complaining about **lengthy HDT they should apply for Indian Idol** instead of the IAS exam.

15.15.4 Short term debt: Certificate of Deposit (CD-instrument by Bankers)

⇒ Certificates of deposit (CDs) are unsecured, short-term, negotiable debt instruments issued by commercial banks in the money market.

Word	Meaning
NEGOTIABLE INSTRUMENTS	a signed document that promises money to a specified person at a specified time (एक दस्तखत/हस्ताक्षर किया हुआ दस्तावेज जिसमें किसी व्यक्ति को किसी दिन पैसा देने की कसम/प्रतिज्ञा की गई है)
UNSECURED	no collaterals/assets are pledged. (कुछ गिरवी नहीं रखा गया)
SHORT-TERM	less than 1 year

15.15.5 🔪💳⏰Short term debt instruments → more types

Table 1: how does this work in real life? Ans. not important just remember 1-Word Association

Borrower	🔪💳⏰ Short term debt instrument (लघु अवधि के ऋण पत्र)
Company	- Bill of Exchange, Hundi, Commercial Papers, Promissory Notes.
Merchant	Commercial Bill.
Call Money	It's the interest rate when Financial Intermediaries (Banks/NonBanks) borrow for **ONE DAY** among themselves.
Notice Money	Same as above but for **2 to 14 days.**
CBLO	Collateralized Borrowing and Lending Obligation. Clearing Corporation of India Ltd (CCIL) helps Financial Intermediaries (FI) to get short term loans through this instrument.
ICD	Inter Corporate Deposits are unsecured short-term loan made by a company with another company.
Repo	Repo and Reverse Repo= Ref: Pillar#1A2: Monetary Policy handout.

MCQ. ***Consider the following markets : [Pre'23-SET-A-Q025]***

1. Government Bond Market 2. Call Money Market 3. Treasury Bill Market 4. Stock Market

How many of the above are included in capital markets?

(a) Only one (b) Only two (c) Only three (d) All four

MCQ. "Collateral Borrowing and Lending Obligations (CBLO)" are the instruments of _ _ _ .

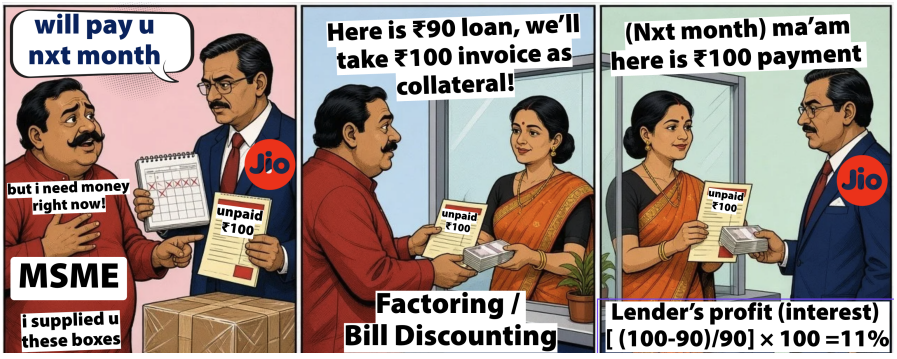
(Pre'24-Set-C-Q70) *(a)Bond market (b) Forex market (c) Money market (d) Stock market*

15.15.6 Debt → Short Term → Tri-party Repo

Type	(Normal) Bi-Party Repo	Tri-Party Repo
No. of Parties	(1) borrower (bank) (2) lender (RBI).	1) borrowers 2) lenders 3) Tri-Party Agent (e.g. NSE or BSE)

- ^The Tri-Party Agent (e.g. NSE or BSE) acts as an intermediary between the two parties to facilitate collateral custody, & repayment. Agent will earn commission from this deal.
- Tri-party Repo is **not** a tool of RBI monetary policy.

15.16 Debt → Short Term → Factoring & TREDS

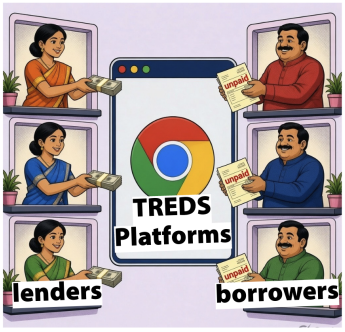


Q1) why did he give invoice to banker instead of to Jio?

banker lady didn't show pistol, he needed urgent loan & cud not wait till nxt month for Jio to Pay

Q2) why banker gave only ₹90 & not ₹100?

Ans. banker will not make profit in that case.



Bill Discounting	Factoring
MSME seller collects ₹₹ from Buyer (JIO) & delivers ₹ ₹ to the Factor (bank/NBFC).	Factor (lender: bank/NBFC) directly collects ₹ ₹ from unpaid invoices from Buyer (JIO).

15.16.1 Factoring Regulation (Amendment) Act, 2021

to amend the Factoring Regulation Act, 2011

Before	After
Banks and only "Factoring Companies (NBFC)" allowed to give loans under this system. There were only seven NBFCs	Banks and all types of NBFCs allowed (After registering with RBI). → So now more than 9000 NBFCs in India can give loans → this will

Before	After
registered as Factoring Companies.	increase the availability of loans for the MSME.
-- earlier it was less.	RBI given more powers to regulate this business.
Earlier this was not clear and so MSME could commit fraud of "**dual financing**" i.e. Pledging the same invoice as collateral in multiple Bank/NBFCs.	Need to register the invoice-pledge-factoring-loan transaction on A central registry set up under the SARFAESI Act. This will prevent the dual financing frauds.

15.16.2 🔪📻⏰: 📡 TReDS platform to connect factoring-players.

⇒ Just like quickr/olx connect buyers with sellers, the Trade Receivables Electronic Discounting System (TrEDS) online-platform Connect the factors (bank/NBFC) with the borrowers (MSME).

⇒ Examples of 3 TReDs platforms: M1xchange, RXIL, and A.TReDS. Have to register with RBI.

⇒ Most famous is RXIL - Owned by the Small Industries Development Bank of India (SIDBI) and the National Stock Exchange of India Limited (NSE), State Bank, ICICI and Yes Bank .

🔠 **MCQ.(IAS-2026)What is the role of M1xchange?**

1. M1xchange provides collateral based loans to MSMEs.
2. M1xchange facilitates discounting of invoices and Bills of Exchange for MSMEs.
3.M1xchange functions as a credit rating agency for MSMES.

Codes: (a) 1, 2 and 3 (b) 2 only (c) 2 and 3 only (d) 1 only

Hint- st1 wrong, this website does not give loans by itself. It only connects borrowers with lenders. St3 wrong. It is not credit rating agency.

15.16.3 👛 TReDS Reforms in Budget-2026 to help MSME:

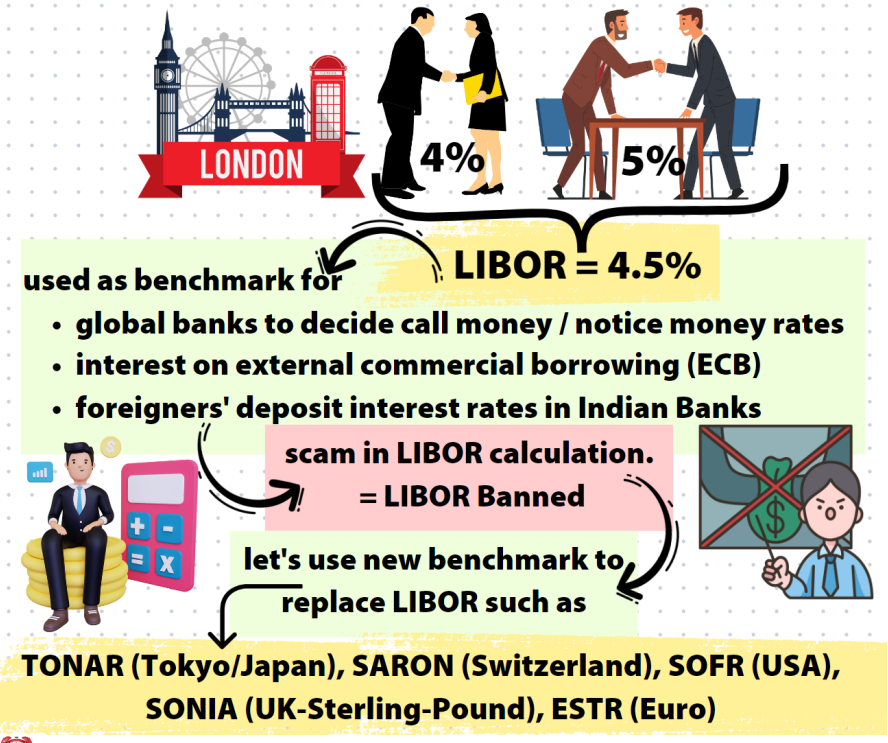
We've already learned TREDs theory in 1C1, so directly going to new update:

- (i) If CPSE (sarkaari companies) buy from MSME. All transactions via TREDs platform.
- (ii) TREDs loan default pe credit guarantee support via org named CGTMSE org.
- (iii) Govt's GeM to be linked with TReDS. Govt uses GeM portal to buy stuff from pvt sellers (what is GeM portal? Ref 4B)
- (iv) TREDs receipts ke liye secondary market to be developed. e.g. Lender-SBI reselling TREDS to Lender-HDFC, then HDFC recovering from Borrower MSME.

15.17 🔪📻⏰DEBT → INTEREST RATE BENCHMARKS: LIBOR, MIBOR,

London Inter-bank Offered Rate (LIBOR) is the average interest rate at which banks in **London** give short term loans to each other.

MIBOR	In LIBOR definition, replace the word "London" → "Mumbai" and "Global" → "Indian", and you'll know what MIBOR is!
MIFOR	⇒ Mumbai Interbank Forward Outright Rate (MIFOR) Faded topic so deleting from handout.



15.17.1 India's SORR → Secured Overnight Rupee Rate (SORR)

- Post-LIBOR controversy, RBI formed the Ramanathan Subramanian Committee to develop Rupee interest rate benchmarks.
- The committee proposed Secured Overnight Rupee Rate (SORR) as a benchmark (2024)
- SORR may replace Mumbai's MIBOR, though not confirmed yet.
- Financial Benchmarks India Limited (FBIL) will calculate SORR. It is a company formed by bankers and forex dealers.

❓ *Which of the following is /are example (s) of 'Near Money'? [UPSC-CDS-2016-I]*

1. Treasury Bill 2. Credit Card 3. Saving accounts 4. Money Market Instruments

Answer codes: (a) 1 only (b) 2 only (c) 1, 2 and 3 (d) 1, 3 and 4

Which defines'Hundi' of the post-Harsha period? (UPSC-Prelims-2020)

[a) An advisory issued by the king to his subordinates

[b) A diary to be maintained for daily accounts

[c) A bill of exchange [d) An order from the feudal lord to his subordinates

Find correct statement(s) (UPSC-Prelims-2020)

1) *'Commercial Paper' is a short-term unsecured promissory note.*
2) *'Certificate of Deposit' is a long-term instrument issued by the RBI to a corporation.*
3) *'Call Money' is a short-term finance used for interbank transactions.*
4) *'Zero-Coupon Bonds' are the interest bearing short-term bonds issued by the Scheduled Commercial Banks to corporations.*

Codes: [a) 1 and 2 only [b) 4 only [c) 1 and 3 only [d) 2, 3 and 4 only

15.18 Long Term Debt Instruments (दीर्घ-अवधि ऋण- उपकरण)

Tenure = 1 year/>. Further sub-division based on who is the Borrower?

15.18.1 Colonial era Govt. to borrow money

1. **Coupon Bonds:** Contain detachable coupons. Coupons are presented to the issuer to claim the interest. Therefore, bond interest rate is also called 'coupon rate'.
2. **Zero Coupon Bonds/ Zero Interest Debentures (ZID):** Are sold on discount and repurchased at face value, do not have any coupons. (separate topic: **Zero-Coupon, Zero-Principal Bonds**- check 'social stock exchange' in this handout)
3. **Bearer Bonds:** Not linked to a PAN card, Aadhar card or passport, voter card or social security number. Anyone who presents it to the issuer, will get interest and principal. Usually issued during the war time.

15.18.2 Modern day Government to borrow money

⇒ **Government securities, Dated securities, Sovereign bonds** (संप्रभु बांड), *Kisan Vikas Patra etc. (more in Pillar 1D: Financial inclusion lecture)*

⇒ Also called **Gilt Edged securities** (उच्च / अग्रिम दर्जे की प्रतिभूतिया) because repayment is assured by Government. (But then, they give lower interest rate because of low risk to the investor).

⇒ Global Credit Rating Agencies gives 'rating' to sovereign bonds. "AAA" is the best and highest given to US Treasury Bonds. India's rating is ~"BAA" = moderate risk of default.

⇒ World's top three credit rating agencies- Fitch, Moody's and Standard & Poor have pro-US/EU allegiance. Critics allege these 3 agencies do not give adequate upgradation to the Govt bonds of India, China, Russia despite the economic growth. भारत में अच्छी-खासी आर्थिक वृद्धि के बावजूद भी यह पक्षपाती विदेशी संस्थान भारत को खराब रेटिंग देते हैं

MCQ. Consider the following statements:(Pre'24-Set-C-Q41)

- ***St1:*** *If the USA were to default on its debt, holders of US Treasury Bonds will not be able to exercise their claims to receive payment.*
- ***st2:*** *USA Government debt is not backed by any hard assets, but only by the faith of the Govt.*
- ***Codes:*** *(a) Both I & II are correct & II is the correct explanation for I*

- *(b) Both I & II are correct & II is not the correct explanation for I*
- *(c) I is correct but II is wrong (d) I is wrong but II is correct*

15.18.3 📈🔎 Global Bond Indices & inclusion of Indian G-Sec

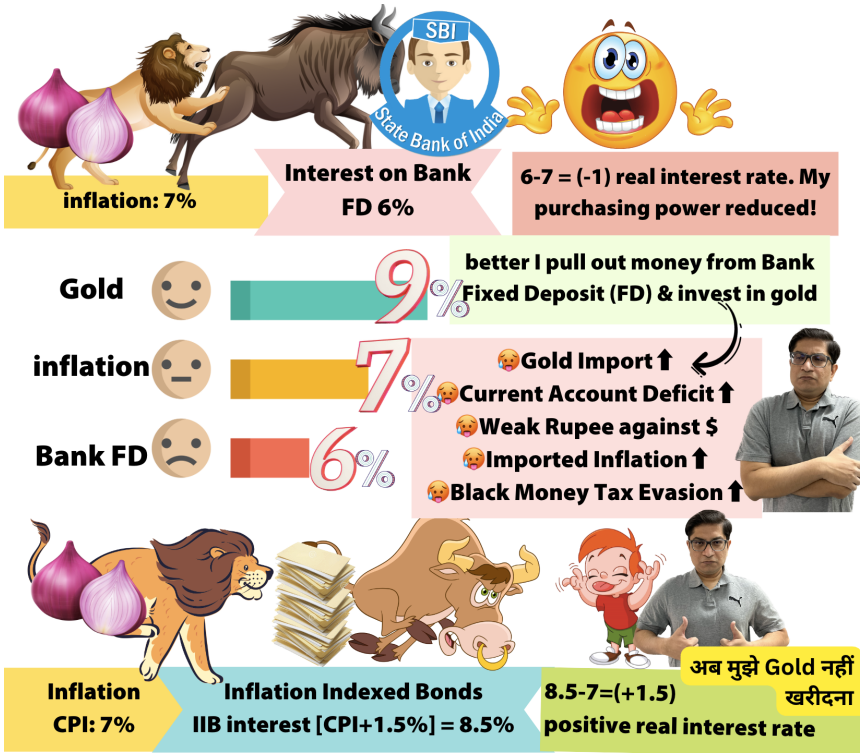
bond market index is a measurement/reporting tool to show the performance of the bond market.

Name	Indian G-Sec included?
JPMorgan GBI-EM (emerging market)	yes, from 2024
Bloomberg EM Index	Double-dholki going on, 2025 they said yes, 2026 they delayed it.

🥰 What are the benefits when Indian G-Sec included in global Indices?

- 🥰 It improves the confidence of foreign investors in park their money into Indian government security. (विदेशी निवेशकों का भारत में विश्वास बढ़ता है)
- 🥰 more investors = Easier liquidity to the existing investors in the secondary market.

15.19 🥇💳📓 Bonds issued by Govt/RBI for Special Purpose?



15.19.1 🍊🔪💳📓 RBI's Inflation Indexed Bonds (IIB-मुद्रास्फीति सूचकांकित बांड)

- RBI launched such bonds in 1997, 2004, 2013, 2018 to provide positive Real interest rate.

15.19.2 🍊🔪💳📓 RBI's Capital Indexed Bonds (CIB) vs IIB

Sometimes the newspapers use the word Capital Indexed Bonds (CIB) to describe the IIBs. CIB is a very old and updated topic. But unnecessary Vampire BabuShone sucking my blood after looking at faaltu-MCQs by inexperienced quiz masters, so, I am forced to write this:

Bond-Year	CIB-1997	CIB-2004 & IIB-2013	**IINSS-C - 2013
Principal protected	Yes	Yes	Yes

Bond-Year	CIB-1997	CIB-2004 & IIB-2013	**IINSS-C - 2013
against inflation			
Interest protected against inflation	No	Yes	Yes
Inflation-benchmark	WPI-Wholesale Price Index	WPI	Consumer Price Index (CPI)

- ** IINSS-C = Inflation Indexed National Saving Securities - Cumulative. (Full form not imp.)
- FAQ: CPI vs WPI? (Ref: Pillar#4E)
- FAQ: what if there is a deflation (= inflation falling below 0%), will investor loose money? ans. No. Then RBI promised to pay minimum x% interest even if the inflation fell below 0%.

15.19.3 RBI's Sovereign Gold Bond (SGB) (started from 2015: संप्रभु स्वर्ण बांड)

RBI issues them on behalf of govt. Denomination: gold grams. But, RBI/Govt doesn't 'promise' to give you gold. They only promise to give you ₹₹ equivalent of latest gold price on maturity. इस बांड का मूल्य सोने के वजन के चिन्हित होगा. किन्तु परिपक्वता समय पर आपको सोना नहीं, उस सोने के वजन के हिसाब से मूल्य जितना रुपया देंगे।

- Annual interest 2.5-2.75% (depending on which year's 'batch' you bought.)
- Tenure: after 8 years you get the amount equivalent to prevailing gold prices at that time. हर साल नियत व्याज, परिपक्वता समय पर बाजार में यदि सोने का दाम बड़ा होगा तो आपको मूलधन से भी ज्यादा ₹₹ वापस दिए जाएंगे.
- **Eligible investor categories:** Indian resident individuals, Hindu Undivided Families (HUFs), trusts, universities and charitable institutions. सिर्फ यह लोग या संस्थान हीं खरीद सकते हैं
- **How much can you buy?** Minimum 1 gm to max upto 20kg depending on investor's category.

Benefit ? reduces the import-demand for physical gold and shift a part of the domestic savings -- used for the purchase of gold -- into financial savings. (More in Pillar#3A)

15.19.4 Govt to stop borrowing via SGB due to high gold price (2025)

matter	2019	2024	Percentage Increase
Gold Price (per 10 grams)	~₹35,000	~₹75,000	~114%

Increase in gold prices → increases Government liability to repay loans taken via SGB.
Therefore newspapers hinting that Govt may stop borrowing via SGB in the future (2025 report).

15.20 Long Term Debt Instruments by Companies

1) **Bonds** (British Term), **Debentures** (American Term): Internal difference not important.
2) If the company has high risk of default on repayment, the Credit Rating Agencies will mark it as Junk Bonds ("BB to D" Grade) e.g. IL&FS. Such company will have to offer a very high interest rate when issuing bonds next time. ज्यादा जोखिम पूर्ण कंपनी ने निवेशक को लुभाने के लिए ज्यादा ब्याज देना होगा
3) **Redeemable** Bonds (मोच्य): will repay regular interest and will return principal on maturity.

4) **Irredeemable** Bonds (अमोच्य): will pay only interest but no principal returned. Sometimes issued by PSB to meet BASEL-capital requirements. Although in reality they offer 'redemption' after 5-10 years when holder has 'option' to redeem principal & exit. (Ref: Pillar1B2= AT1 Bonds)
5) **Secured vs Unsecured.** Secured = asset is pledged. Unsecured = not pledged.
6) **Non-convertible Bond/Debenture** = can't be converted into shares.
7) **Hybrid instruments**: Issued as "Bond" but can be converted into Share. E.g. Optionally Fully Convertible Debentures (OFCD).

15.20.1 🐸 Hybrid financing / Mezzanine Financing

- It has elements of both debt (loan) and equity (partnership).
- Lender gets a right to convert the debt (bond) to an equity (share).
- it is done via instruments such as Optionally fully convertible debentures (OFCD).
- Venture Capitalists usually do it in the start-up companies.

Instrument	Normal / Traditional Bonds / Non-convertible debenture (NCD)	OFCD	Share (Equity)
Interest/ Return on Investment	12%	8%	uncertain
Rights/ Claim during liquidation of company	first right	middle	last/residual claim

^^ Numbers only for e.g. that OFCD normally pay less interest than traditional bonds(NCD).

🔠❓ **MCQ. Find correct statements about Convertible Bonds (Prelims-2022)**

1. As there is an option to exchange bond for equity, Convertible Bonds pay a lower rate of interest.
2. The option to convert to equity affords the bondholder a degree of indexation to rising consumer prices. Codes: (a) 1 only (b) 2 only (c) Both 1 and 2 (d) Neither 1 nor 2

15.20.2 🐸 Hybrid: OFCD: Sahara Refund portal (2023)

Sahara company issued OFCD without SEBI permission then SEBI collected ₹23,000 cr from Sahara as penalty. Then SC ordered SEBI to transfer ₹5000 cr to Ministry of Coop. → Central Registrar of Cooperative Societies (CRCS, a statutory body under Multi-State Co-operative Societies Act 2002) → CRCS - **SAHARA REFUND PORTAL** setup. 2023: Each investors given ₹10,000 refund from it

15.20.3 🐸 Hybrid: Foreign Currency Convertible Bonds (FCCBs):

- FCCB investor has option to convert his bond Into shares at pre-determined exchange rate.
- The FCCB's are issued in a foreign currency and carry a fixed interest rate
- e.g. 2010: Tata issued FCCB worth $1 billion. (Investors gave dollar currency)

Terms	Example
Face Value	$1000 for one bond
Tenure	5 years
Interest	5% on face value in dollars = 50 dollars.
Conversion option	if INVESTOR wanted he could convert 1 Bond (of $1000 value) -into 1 share of ₹45,000 face value each. (2010's exchange rate $1=₹45)

Usually, FCCB's interest rate lower than non-convertible debentures (NCD). (because company is giving you the lollipop of conversion. So you cannot eat Laddu both ways ke I want high interest rate and also I want conversion option.)

15.20.4 🐸 Hybrid: Contingent convertible bond (CoCo)/ enhanced capital note (ECN)

Its features are hybrid Mix of i) AT1 Bonds (Ref 1B2) and iii) OFCD.
we'll pay u "A%" interest rate But

- if Condition "B" happens, we'll convert it into Shares
- If Condition "C" → we'll write-off principal + Interest and will not even convert it into share.

15.21 🔪📠🗓️ Bonds Types : Based on Issuer

15.21.1 🔪📠🗓️ Bonds Types : Based on Issuer → ULB (Urban Local Bodies)

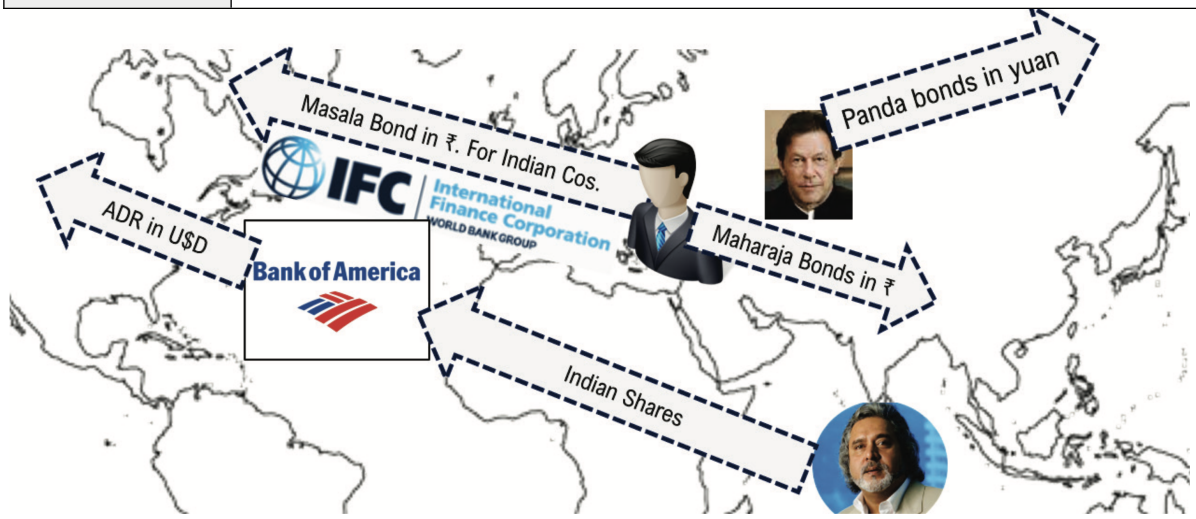
Year	Event
1996#	Ahmedabad Municipal Corporation was the first urban local body to raise funds through municipal bonds (₹100 cr); without state govt guarantee.
1997#	Bangaluru Mahanagar Pallike (BMP) was to issue municipal bonds for ₹ 125 crore. (= Matlab ki this much large size ₹ 125 cr krne walla first ULB was Bangaluru.)
2020	Lucknow Municipal Corporation (LMC) issued bonds worth ₹ 100 cr. it is the first municipal bond from North India.
2021	- Ghaziabad Municipal Corporation (Uttar Pradesh), issued first-ever Green Municipal bond in India. (भारत का सर्वप्रथम हरित नगर निगम बॉन्ड) - however, it was **'private placement'** i.e. only selected big players allowed to invest. normal retail investors couldn't apply for it.
2023	Indore becomes **first** civic body to launch municipal green bonds in India **for retail investors (aam aadmi).** This money was used for solar plant
2024	Ahmedabad becomes 2nd to issue municipal green bonds after Indore.

#🚩👶 Note: **Various books/websites are giving different facts about "who was the first to issue Muni.Bonds?"** Ans. I've copy pasted from Prof. Bharati Pathak's book on financial market & PIB.

15.21.2 🔪📠🗓️ Bonds Types : Based on Issuer → Global

Issuer	Objective? उद्देश्य?
BRICS Bond	- 2014- BRICS Nations had setup the New Development Bank (NDB, HQ: Shanghai, China). Later it launched **BRICS Bonds** to mobilize money for its infrastructure loans. **Denomination**: US Dollars
World Bank 🌐	- 2018: launched world's first Blockchain Offered New Debt Instrument called **Bond-i.** Sold in Australia using Ethereum **blockchain** technology. Tenure: 2 years @~2% interest. **Denomination**: Australian Dollars, hence also called "**Kangaroo** Bond".
Evergrande Crisis	- Evergrande is a Chinese real estate developer company. Facing trouble repaying its bonds. Foreign investors panicked, resulting in crisis in Chinese

Issuer	Objective? उद्देश्य?
	and global financial markets. HOW?NOTIMP.



15.21.3 🔪📂📅Long Term Debt Instruments: Masala, Maharaja, Panda Bond

🌶️ **Masala Bonds:** These rupee denominated bonds issued outside India, to borrow money for Indian companies. World Bank's sister agency International Financial Corporation (IFC) launched 'Masala Bonds' to help Indian public sector and pvt sector companies.

⇒ 2015: RBI allowed Indian entities to launch such Masala Bonds.

⇒ 2017: National Highways Authority of India (NHAI) also issued Masala Bonds in London Stock Exchange to mobilize money for Indian Highway projects.

⇒ 2019: Kerala became the first State of India to issue Masala Bonds. Its Kerala Infrastructure Investment Fund Board (KIIFB) issued Masala Bond at the London Stock Exchange. Denomination: ₹ ₹ Total Size: ₹ 21.5 billion. Tenure: 5 years. Masala Bonds are usually issued by institutions with AAA rating. Since KIIFB has BB rating, hence offered higher interest rate: ~9.7% (वरना कोई खरीदता नहीं)

Table 2: rapid revision table for Bond types based on currency

👐Issuer →	🌐 Borrowing from →	💸 In currency →	🔪📂 Is called
Non-Chinese →	China →	Renminbi (=yuan)	🐼 Panda Bonds
Non-Chinese →	Hong-Kong	Renminbi (=yuan)	Dim sum Bonds. Dimsum=type of food
Non-Australian	Australia	Australian dollar	🦘 Kangaroo Bonds
Non-Indian	India	Rupee	🤴 Maharaja Bonds
(Indian or a non-Indian on behalf of Indians)	Outside India	Rupee	🌶️ Masala Bonds
Non-Taiwanese entity	Taiwan	OTHER than Taiwan dollar	Formosa Bond

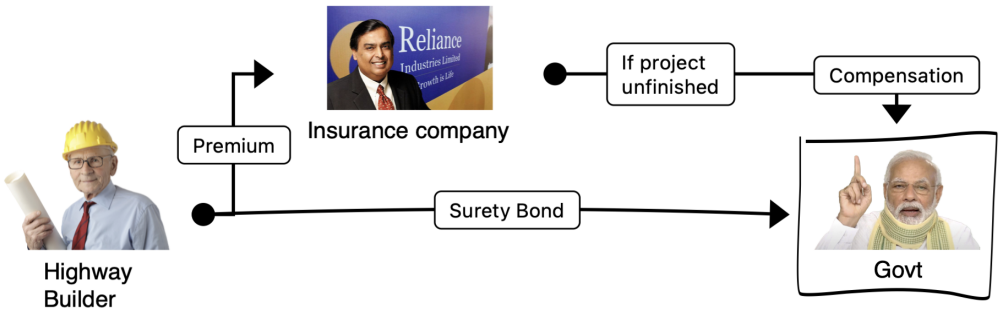
🔠❓ **Find correct statement about 'IFC Masala Bonds'** ***(UPSC-Pre-2016)***

1. The International Finance Corporation, which issues them, is an arm of the World Bank.
2. They are rupee-denominated bonds & a source of debt financing for public & private sector.

Answer Code: (a) 1 only (b) 2 only (c) Both 1 and 2 (d) Neither1 nor 2

🔠❓ **Which is a viable alternative to term-loans for raising debt finance by large publicly traded firms?** ***(UPSC-IEnggS-2018)*** (a) Shares (b) Debentures (c) Asset loans (d) Gold loans

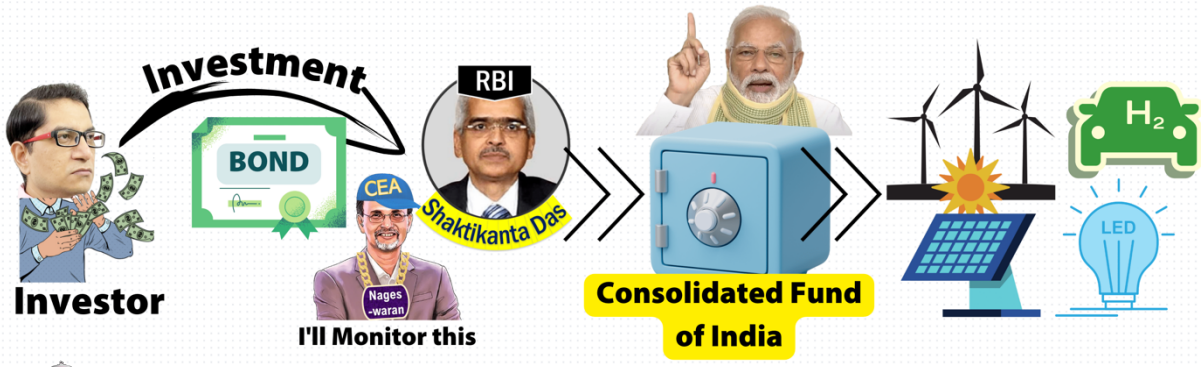
15.21.4 🔪📂🗓️ Long Term Debt Instruments: Special purpose: 🚦🚗 Surety Bonds



⇒ What does above chart mean? Ans. Refer to Video lecture.

⇒ 👜🧧 Budget-2022 said we'll allow Surety Bonds. IRDAI will regulate this.

15.21.5 🔪📂🗓️🌿 Long Term Debt : Special purpose Bonds- Sovereign green bonds (2022)



⇒ 👛Budget-**2022** announced this. RBI sells them via E-Kuber platform to investors.

⇒ Money will goto Government's Consolidated fund of India-CFI (what is it? Ans. Ref Pillar2A)

⇒ From CFI → borrowed money will be used in following purposes

✅ Money will be used	✋Will not be used (यहां इस्तेमाल नहीं होगा)
Subsidies, Grants, Tax-Cuts For: ⇒ Renewable energy- solar, wind etc ⇒ Energy efficiency e.g. LED bulbs ⇒ Clean transportation e.g. Electric Vehicles ⇒ Water and waste management ⇒ Pollution control, Green buildings	⇒ Nuclear power generation, landfill projects, ⇒ alcohol/weapons/tobacco/gaming/palm oil industries ⇒ Hydropower plants larger than 25 MW
Equity (share) investment in metro projects	N/A

Above investment projects will be reviewed by Finance Ministry → Green Finance Working Committee (GFWC) headed by the Chief Economic Advisor (CEA) (इनके द्वारा समीक्षा होगी).

🔠 ***MCQ. Which budget announced Sovereign Green Bonds ? (CAPF-2025)***

(a) 2022-23 (b) 2021-22 (c) 2023-24 (d) 2019-20 (socho- 2022 ka GK asked in 2025 #ylengthyHDT!)

15.21.6 🔪📂🗓️🌿👎 Sovereign green bonds are flop, investors not attracted (2025)

In Jan 2025, RBI's ₹10,000 crore Sovereign Green Bond issue saw ~70% bonds unsold due to:

- Nearly 50% funds allocated to **electric trains**; investors skeptical due to Indian Railways' **profitability issues.**
- **Transparency/accountability** concerns by investors. Bcoz, Indian government is yet to release 2023 impact-data (as of Feb 2025.)
- Low secondary market **liquidity** discouraging primary market buyers.
- **Low credit rating** as bonds weren't backed by major international organizations.

15.21.7 🔪📻📝🌿 Green Bonds Greenium

Greenium refers to investors willing to accept lower interest for sustainable impact. (किसी हरित प्रॉजेक्ट की सकारात्मक असर के चलते लिए एक निवेशक कितना नुक़सान सहने को तैयार है, उसे ग्रीनियम कहते हैं।)

Parameter	Normal Bond	Green Bond-A	Green Bond-B
Face Value	$1,000	$1,000	$1,000
Coupon Rate	3%	2.7%	2.5%
Investor's Return Difference	Baseline	-0.3% (Greenium)	-0.5% (Higher Greenium)
Environmental Impact	None	Positive	Greater Positive Impact

- When investor is willing to pay higher greenium (e.g. Green Bond-B) that means investor has more trust/faith in the positive outcomes of the project.
- 📕ES24 noted that Indian sovereign green bonds not received much 'greenium' from private investors, despite having a good rating. Probably due to the issues of trust / transparency in India's green projects. (भारत के सार्वभौम हरित बॉण्ड की अच्छी रेटिंग के बावजूद उसे ज़्यादा ग्रीनियम नहीं मिल रहा, क्योकि निवेशकों को इसमें विश्वास कम है।)

15.22 🔪📻📝 Long Term Debt Instruments: Special purpose Bonds- Misc.

15.22.1 🌿 Special Purpose: Greenbonds (हरित बांड) पर्यावरण संरक्षण और स्वच्छ ऊर्जा संबंधी

For renewable energy, pollution control, environment friendly projects.

- World's first Green Bond launched by World Bank (2007)
- India's first Green Bond launched by Yes Bank (2015)
- BRICS-New Development Bank issued Yuan- green Bonds (2016)
- Indian Renewable Energy Development Agency (IREDA) launched India's first **Masala Green Bond** at London Stock Exchange (2018).
- 2021: India's first ever euro currency- denominated green bonds by Power Finance Corporation (PFC, an NBFC company under Power Ministry)
- 2022: Sovereign green bonds. Explained in previous section

💦**Blue Bond (नील बांड)**	A sub-type of green bond, where money borrowed for climate resilient water / marine / fisheries projects. E.g. 2018- Seychelles issued world's first 'Blue Bond,' to expand its marine protected areas and fisheries sector. (समुद्री संरक्षित क्षेत्र और मत्स्य क्षेत्र)
ESG Bonds	Money is invested in bonds of companies having good track record of Environment, Social and Governance (ESG) बॉण्ड निवेश उन कंपनियों में जो पर्यावरण, समाज और शासन की मैं अच्छा काम कर रहे हैं
Oil Bonds	Explained in 📄Pillar#2- along with taxes on petrol and diesel.

🤧🔪📻♾️ **(proposed) Consol Bonds for Corona-revival**	⇒ US Govt (1870s) and British Govt (1917) had issued Consol bond. ⇒ Consol is short form for 'consolidated annuities'. ⇒ Consol bonds have no maturity date. They are perpetual bonds that paid 4-5% interest rate, for an infinite time period. In theory they don't repay the principal amount back to investor. Thus, they're **Irredeemable** Bonds (अमोच्य). ⇒ However, in reality, the Govt may redeem(/buyback) the bonds after certain years, by paying principal to the investor. कुछ वर्षों बाद सरकार पुनः खरीद लेगी ⇒ Some economists suggesting Indian govt should issue Consol Bonds for Post-corona economic revival. (अर्थव्यवस्था को पुर्नजीवित करने के लिए)
Perpetual bonds	⇒ Similar to Consol Bonds. But, issued by companies for business purpose.
🦏 **(Proposed) Elephant Bonds for black money**	⇒ 2019-May: Commerce ministry's Dr. **Surjit S. Bhalla** Committee 'to improve India's share in global trade' suggested 'Elephant Bonds'. **Tenure**: 25-years. ⇒ People declaring Black Money will be required to invest x%. ⟶ ₹ ₹ to be used only for infrastructure projects. जिनके पास काला धन किन्तु सजा से बचना है तो वे इसमें निवेश करें और पैसा बुनियादी अवसंरचना निर्माण में उपयोग होगा
☪️**Sukuk Bond/Islamic Bond**	It is a sharia-compliant bond instruments used in Islamic nations. Was in News because Pakistan Govt issued such bonds. How it works? In which currency is it issued? How it's different than ordinary bonds? ✋NOTIMP4Exam after looking at old papers.

15.22.2 👩‍🏭 Social Impact Bonds, Skill Impact Bonds & Impact Investors (सामाजिक प्रभाव बांड)

2019: SIDBI issued ₹ 300 cr. worth **Women's Livelihood Bonds** (महिला आजीविका बॉन्ड) with the help of World Bank, UN Women org etc.

- These bonds will be offered to High Net worth Individuals (HNI), Impact Investors (rich people interested in 'indirect' social service) etc. They'll earn 3% annual interest rate for 5 years.
- Money collected → SIDBI → Micro Finance Institutes (MFI) → loaned to individual women entrepreneurs in food processing, agriculture, services etc.

2021: **Skill Impact Bond:** By National Skill Development Corporation (NSDC) with help of global partners from UK, Dubai etc. $14.4 million for skilling 50,000 Indian youth job.

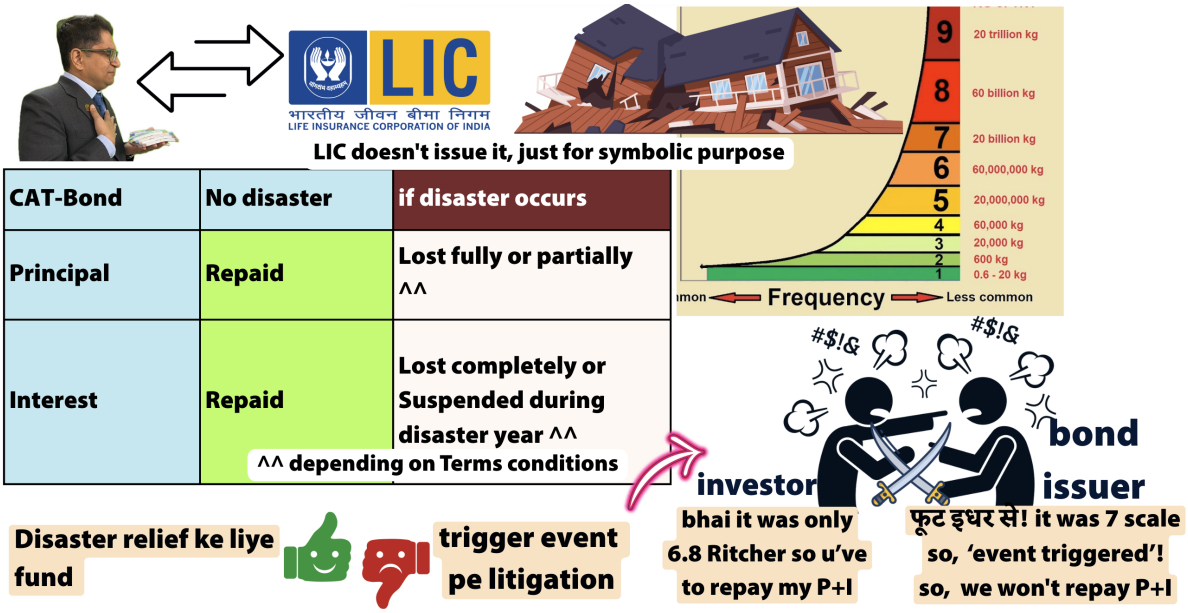
🔠 **MCQ.(IAS-2026)** A bond whose proceeds are used only to finance or refinance a combination of both environmental and social projects is called: (a) Green Bond (b) Social Bond (c) Sustainability Bond (d) Sovereign Bond

15.22.3 Bonds → Zero coupon zero principal instrument

- issued by Not for Profit Organization (NPO), Non-governmental organization (NGO)
- Money used for social service. they repay NEITHER principal NOR interest.
- Zero Coupon Zero Principal (ZCZP) Bonds do not repay any interest or principal.

- They can't be re-sold in the secondary market.
- They can be transferred to legal heirs. (E.g. Amitabh Bacchan to his son Abhishek)
- ZCZP is akin to a donation made to a charity. But it gives greater transparency/accountability because the issuer will have to disclose all the financial details to SEBI & investors.
- 2023-Nov: Unnati is a not-for-profit organization formed in issued bonds at NSE-social stock exchange for the skill development of youth.

15.22.4 CAT Bonds / Catastrophe Bond (आपदा)



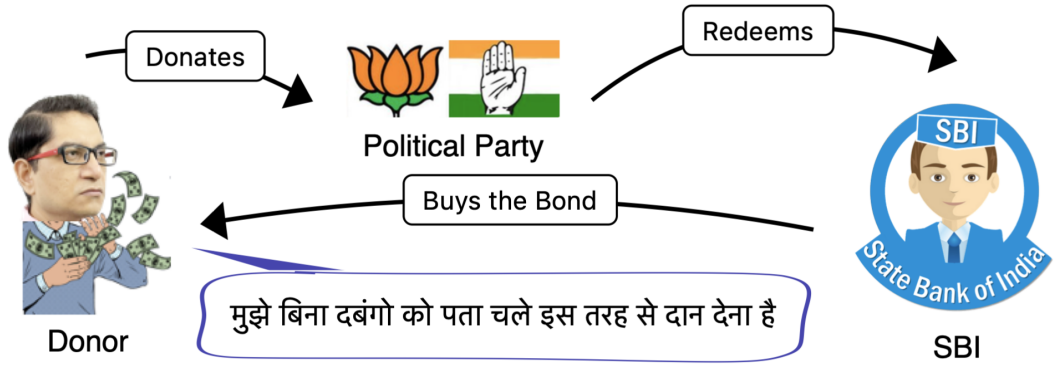
CAT-Bond	No disaster	if disaster occurs
Principal	Repaid	Lost fully or partially ^^
Interest	Repaid	Lost completely or Suspended during disaster year ^^

^^ depending on Terms conditions

15.22.5 Bonds → Bhutan Mindfulness City ke liye "Nation Building Bond" (2024–25)

Issuer & Amount	By Bhutan Govt. $100 million & 10 years tenure.
Objective	To build a new city 'Gelephu Mindfulness City' (GMC)

15.23 ELECTORAL BONDS (चुनावी बांड, 2017-2024)



⇒ Announce in Budget **2017** → **Notified by Dept. of Economic Affairs, Finance Ministry** (आर्थिक मामलों का विभाग). Only SBI could issue and in multiples of Rs.1,000, Rs.10,000, Rs.1,00,000, Rs.10,00,000 and Rs.1,00,00,000.

⇒ **Who can buy?** Only an Indian Citizen or Company registered in India

⇒ Electoral Bonds can be donated only to a political party registered under **Representation of the**

People Act 1951 (RPA: लोक-प्रतिनिधित्व अधिनियम) and which has secured 1% /> votes polled in last Lok Sabha or Vidhan Sabha elections.

⇒ 🗓️**Validity (वैधता अवधि)?** Only 15 days from date of purchase. Within that time, buyer must donate, and political party must deposit in its SBI (current) bank account. No interest payable.

⇒ 🤩**Benefits of electoral bonds?**

- Transparency in political funding. (राजनीतिक चंदे में पारदर्शिता)
- Reducing influence of cash and black money in election, (काले धन का प्रभाव)
- Confidentiality to donor- from his wife, staff, CA, Lawyers, journalists, local goons etc. they can't know the name of recipient political party. (दाता को गोपनीयता)

15.23.1 📦🚨👨‍⚖️ SC bans electoral bonds (2024-Feb)

Note: I am not going into polity/mains analysis. Just basic facts for MCQ. Supreme Court ruled that:

- Electoral bonds can promote corruption & quid pro quo (e.g. businessman giving the fund and minister passing his contract for highway/mining etc) (चुनावी बांड भ्रष्टाचार को मदद करते हैं)
- Donors' right to privacy is not bigger than voters' right to know. (फंड-दाता का अपने दान को गुप्त रखने का अधिकार, मतदाता के जानकारी पाने के अधिकार से बड़ा नहीं है)
- SBI must disclose the list of all donors & recipient political parties from 2019–24 to election commission → election commission must disclose this database to public, by 2024-March.

15.23.2 📦 Electoral Bond & Companies Act - SC bans amendments

Matter	Companies Act 2013	Amendment in 2017
How much money can a company donate to a political party?	not more than 7.5% of 3-years' average net profits	Unlimited. कंपनी मन चाहे उतनी माला में चंदा दे सकती है
Does the company need to disclose the name of the recipient political party in its financial statements?	yes Company to disclose name of the political party to whom company gave the donation.	no need to mention exact name. (किस पक्ष को चंदा दिया? कंपनी ने वित्तीय दस्तावेजों में उसे स्पष्ट रूप से बताना ज़रूरी नहीं।)

2024: SC declared above amendments in the company act as unconstitutional because they (1) can promote corruption (2) Violate the voters right to know about the political party's funding sources. (सर्वोच्च न्यायालय ने कंपनी कानून में किए गए इन सुधारो को गैर-संवैधानिक घोषित किया है)

15.23.3 📦👨‍⚖️ Electoral Trusts (ET) Scheme (2013)

- 2013: UPA/Congress govt launched it. It allows a company to create an electoral trust.
- Such Electoral Trusts (ET) can receive donations from other (persons/companies) → ET donates it to various political parties. e.g.

Donors →	Electoral Trust →	Recipient Parties
DLF, GMR, Bharti Airtel, etc. companies	Prudent Electoral Trust	Congress, BJP, regional parties

Here, it is difficult to trace how much of Bharti Airtel's donation went to BJP. Thus, it provides anonymity to the donors. This scheme is not yet banned by courts (2024).

15.24 Bonds: Misc. Types

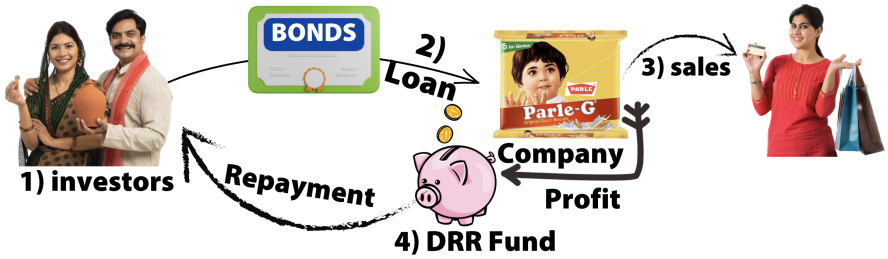
15.24.1 Bonds: Misc. Types → Market Linked Debentures/Bonds

Their interest is not fixed. It is linked to an underlying market index e.g. SENSEX, G-Sec-Yield, gold price index, etc. [What is SENSEX? Ref Pill1C2: Share/Equities]

15.24.2 : Bond Yield, Yield Inversion, Negative Yield

Bond Yield	(Finished in Pillar#1A2: Operation Twist)
Yield Inversion	Not important but u can do PHD from this video: youtube.com/watch?v=BDACRJAo-48
Negative Yield	Not Important/outdated.

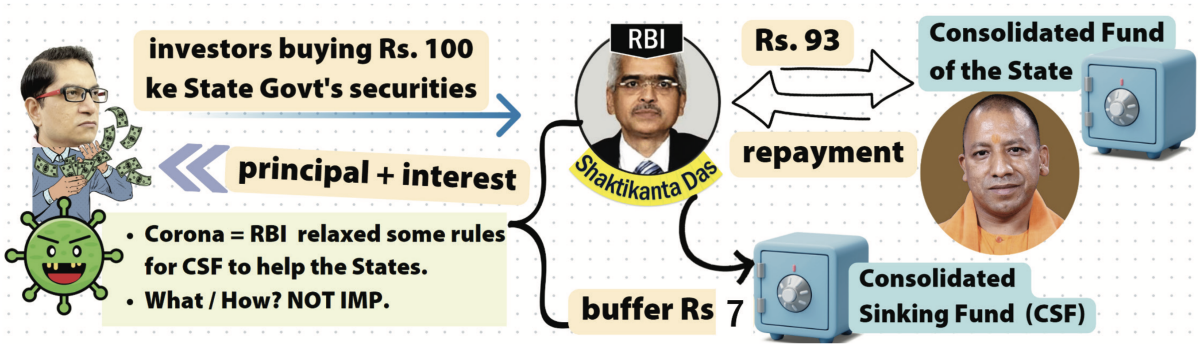
15.25 Buffer Funds for Bond Repayment



15.25.1 Debenture Redemption Reserve (DRR) Fund of Companies issuing Bonds

- Whenever a company issues bonds/debentures (=long term instruments) → company needs to create a buffer fund from its profits.
- This DRR fund is used later on for paying the principal and interest to the investors.
- This is legally required under the Companies act.
- 2019: Govt exempted some companies from keeping DRR to help in ease of doing business.

15.25.2 Consolidated Sinking Fund (CSF) for State Govts' repayment



FAQ by Zhande-walle Babushone: if state government's loan have CSF fund, does union government's loans also have such funds? Ans. I don't know and I didn't check bcoz books/newspaper didn't mention so I did not become James Bond to find that out. Because it will be a very inefficient way to prepare for the competitive exams. थोड़ा-पढ़ो-आगे-बढ़ो.

Next Handout: 1C2: Shares / Equities, SENSEX, Mutual Fund, etc.